Scenarios and outcomes

The principal geopolitical questions revolve around Sino-US relations. Some hypotheses expect a great conflict to erupt when the Asian economy externalises the tensions inherent in its model, pressing suppliers to reduce input costs and demanding that competitors cede markets. According to these predictions, China will confront the United States and then take control over the international reserve currency. But another possibility must be kept in mind, and this has to do with the co-dependency which has developed between China and the United States in recent decades. The great Eastern exporter needs the North American market to unload its surpluses and the Great Power needs Chinese financing to cover its monumental trade imbalances. The transformation of Shanghai into a great multinational business centre illustrates how both powers' plans interact with each other. At least two central figures in imperial policy-making are betting on the stability of this relationship. They believe the United States will accept the preponderant economic position of China in exchange for its recognition as the world's sheriff.[3]

Until now, the tendencies toward conflict and cooperation have played out with similar intensity, making it very difficult to predict the outcome. Predicting an open clash between the two powers is as hazardous as envisioning an idyllic amalgam. For the moment, the Eastern giant cannot replace its Western adversary and the North American gendarmerie oscillates between conciliation and hostility toward its rival. The United States foments military tension by placing itself in the middle of Sino-Japanese territorial disputes. It is also overseeing South Korean naval exercises, reinforcing its marine base in Australia, and redoubling the pressure on North Korea to dismantle its nuclear arsenal. But these actions coexist with the extension of joint investments.

The outcome of this conflict will also help clarify the real nature of the Chinese regime. Some sympathetic commentators emphasise political autonomy and ponder over a model of national-interventionist accumulation without looking more deeply into the social nature of the current system.[4] This point of view prevents them from analysing how China's economic ascension was achieved by means of an international association with transnational corporations which, in turn, accelerated the rise of a new capitalist class. The peculiarity of this process has been the direct link between bourgeoisified groups in China with these corporations. They have not followed the classical trajectory of national accumulation based on protective barriers and rivalry with other powers for control of external markets. Rather, they have directly joined capitalism's new internationalised context. Based on this foundation, they have introduced a